Buy Now, Pay Later Evolves into Mainstream Consumer Credit as Banks Enter the Pay-Over-Time Market

Buy Now, Pay Later (BNPL) is evolving from a niche payment option for discretionary purchases into a mainstream consumer credit product that is increasingly being used for everyday necessities. The 2026 LendingTree survey underscores this shift: 54% of users said they rely on BNPL to help make ends meet, while 29% have used BNPL to buy groceries. This indicates that Buy Now, Pay Later is deeply embedded in household spending. Consequently, many consumers are stretching their finances too thin, even managing multiple loans at the same time. A key concern is that 47% of BNPL users made at least one late payment in the past year, suggesting that the convenience of BNPL often comes with rising repayment pressure and financial stress.

More Than a Checkout Convenience Tool

Clearly, Buy Now, Pay Later has come a long way from its original positioning as a simple checkout convenience tool. It first entered consumer consciousness in the late 2010s, and subsequently became mainstream during the Covid-19 pandemic when online shopping surged and consumers sought more flexible ways to manage spending. This short-term financing model offered an alternative to traditional credit cards; it resonated well with Millennials and Gen Z because it was simple, flexible, and seamlessly built into the checkout experience, making it a preferred payment option for many younger shoppers.

Unlike credit card providers, whose primary revenue source is interest income, BNPL providers largely earn revenue through merchant fees. This distinct business model aligns provider incentives with merchant sales growth and helped accelerate BNPL adoption over time.

The U.S. is the world's largest BNPL market and represents a significant chunk of global activity. Today, Affirm, Afterpay, Klarna, and PayPal constitute around 70–75% of U.S. BNPL credit issuance. According to the Consumer Financial Protection Bureau, approximately 54 million Americans used a BNPL product in 2023, with loan originations surging from 20 million in 2019 to 336 million in 2023.

Evolving BNPL Competitive Landscape

Despite the dominance of the 'Big Four' in the U.S., the BNPL space is becoming increasingly crowded as major U.S. banks roll out pay-over-time options across their credit and debit products. The 2026 J.D. Power survey revealed that users reported higher satisfaction with bank-backed offerings than with traditional BNPL providers. This suggests greater consumer trust in established financial institutions, potentially giving banks an advantage as competition in the pay-over-time market intensifies. At the same time, BNPL providers are also expanding beyond point-of-sale financing by introducing savings features, cards, and broader credit tools that increasingly resemble traditional banking. As a result, the lines between fintechs and traditional banks are increasingly blurring. The once fintech-led disruption has now matured into a competitive overlap, with both BNPL providers and banks converging on similar product innovations and competing within the same consumer credit ecosystem.

Global Expansion of BNPL

While the U.S. remains the industry's largest market, similar adoption trends are increasingly visible across other parts of the globe. Australia was an early adopter, with Afterpay popularizing its 'Pay-in-Four' model, while Zip helped deepen early competition in the region. In Europe, BNPL scaled rapidly on the back of Klarna, expanding from the Nordics into major markets like the UK, Germany, France, and Southern Europe, supported by players including Clearpay, PayPal Pay Later, Ratepay, Riverty, Scalapay, Alma, and SeQura.

Latin America has emerged as another fast-growing hub, with Mercado Pago leading the market alongside Koin, Kueski Pay, Creditas, RappiPay, Nubank, Addi, and Aplazo as digital commerce expands across the region. In Asia, BNPL adoption is being driven by Huabei, Grab PayLater, JD Baitiao, Atome, while Tabby and Tamara have been at the forefront of growth in the Middle East.

Africa is also witnessing rising adoption, led by providers such as Payflex, CredPal, M-KOPA, PayJustNow, MNT-Halan, and Mobicred.

Together, these regional ecosystems demonstrate that BNPL has steadily evolved from a localized payment innovation into a mainstream global consumer credit product.

BNPL Alongside Traditional Credit Cards

The emergence of Buy Now, Pay Later sparked debate over whether this pay-over-time model would pose an existential threat to traditional credit cards. However, over time, it has become clear that one is not replacing the other. BNPL and credit cards function as complementary credit layers rather than direct substitutes, operating at different points in the payment journey. BNPL is emerging more as a secondary financing option and is leveraged by consumers when they approach credit limits, avoid revolving balances, or prefer fixed, predictable repayments. This has created a usage pattern where credit cards remain the primary spending tool, while BNPL is used as a backup for additional spending within the same cycle.

Increasing Regulatory Scrutiny

The BNPL regulatory environment is evolving rapidly as governments globally reassess how short-term installment credit should be governed. Once lightly regulated, Buy Now, Pay Later now faces increasing alignment with traditional credit frameworks due to rising adoption and consumer exposure. In the U.S., the CFPB has brought BNPL under the Truth in Lending Act (TILA), requiring stronger disclosures and consumer protections, though data reporting to credit bureaus remains cautious among providers. Europe is moving toward treating BNPL as regulated credit, with markets like the UK, Germany, and France enforcing affordability checks and standardized lending rules. Australia is among the most advanced, formally bringing BNPL under national credit laws with licensing and responsible lending obligations. Overall, the sector is shifting from fragmented oversight toward more structured regulation, integrating BNPL more closely into mainstream financial systems.

Conclusion

The Buy Now, Pay Later landscape is entering a phase of maturity as it expands beyond retail into sectors such as healthcare, travel, and education. Tightening regulations and advances in AI-driven underwriting are encouraging more disciplined and sustainable growth. Rather than replacing traditional credit cards, BNPL is increasingly becoming an integrated part of the broader consumer finance ecosystem, offering consumers an additional tool to manage spending and liquidity.